CORPORATE LAWS AND PRACTICES

Suggested Answers
July-August 2022

Answer to the Question# 1(a):

There is no specific provision in the Companies Act 1994 in relation to the effect of change of name of a company. However, based on various established decisions and conventions these are well established, hence described below:

(i) Continue existence of the Company:

The change of name does not bring into existence a new company. The company remains the same entity as before, except for the name changes. A new certificate of incorporation shall be issued but that does not incorporate a new company. The effect of the issue of the certificate of incorporation on change of name is not therefore to reform or re-incorporate the company as a new entity. Hence, the Company will continue to exist as the same legal entity.

(ii) Legal proceedings by or against the Company:

The change of name does not affect the entity of the Company or its continuity as the same entity. The entity continues to remain as the same entity with same rights, privileges and liabilities as before. Hence, the change of name shall not render defective any legal proceedings by or against the company and therefore it shall not affect any legal proceedings continued or commenced by or against the company pending in its old name as they may continue in its new name.

(iii) Shareholdings by the Company in old name:

Since the entity continues to remain as the same entity with same rights, privileges as before, there will be no impact on the title of its shareholdings with other Company. However, the company which has changed its name would be entitled to ask those companies in which it is holding shares, to substitute its old certificates by new ones.

Answer to the Question# 1(b):

1. Where One Person Company (OPC) having only one director, following resolutions shall be signed and dated by the director and shall be entered into minutes book:
   a) Take note about exceeding the threshold limits as applicable.
   b) Authorizing giving Notice to the Registrar in prescribed form.
   c) Notice with Explanatory Statement for Special resolutions to be signed, dated and communicated by the member to the company regarding:

      i. Alteration of Article for conversion
      ii. Alteration of Memorandum (name clause)
      iii. Alteration of Memorandum to amend the reference of the name of one person and its nominee
2. Special Resolutions to be signed, dated and communicated by the member to the company and entered by the company into minutes book
3. Copy of Special Resolutions to be filed within fifteen days with the Registrar in prescribed Form and copy of altered Memorandum and articles shall be attached therewith
4. Increase the number of members to minimum two as the company is converted to a private company
5. Since the number of directors are below the requirement of the Act for converted company, increase the number of directors to two for the private company
6. Obtain from the Registrar of Companies, fresh Certificate of Incorporation consequent upon conversion of the one person company into a private company
7. Have fresh copies of the altered memorandum and articles of association printed incorporating the changes or effect changes in all copies of the memorandum and articles of association lying in the office of the company, and in letter heads, invoice forms, receipt forms, all other stationery items, and at every other place where the name of the company appears
8. Issue, if necessary, a general notice in newspapers informing the conversion and its name has been changed from XYZ OPC to XYZ Pvt. Ltd.
9. Inform all concerned persons/authorities about the conversion from OPC to private company and about the change of its name, particularly to the VAT/Customs/ income tax authorities, other regulatory authorities, suppliers of raw materials, customers, banks etc.
10. Have painted the new name of the Company on all the sign boards wherever they are displayed.

Answer to the Question# 1(c) (i):

Since ABC Ltd has issued non-cumulative Preference shares and the company made loss up to 2005, the right of preference shareholders for getting dividend @5% cannot be exercised. However, after 2005, the preference shareholders will get dividend @5% on priority basis if the distributable profit covers such dividend.
As per section 154, The Companies Ac, 1994, there are certain conditions for redeeming of Preference shares:

(a) Preference shares must be fully paid before its redemption;
(b) Redemption shall be made out of profit available for distribution as dividend or out proceeds of fresh issue for the purpose of redemption or from sale proceeds of any property of the company.

Since, the issued preference shares are fully paid, the company can redeem up to 50% of its preference shares out of accumulated profit of BDT 50 crore.

Answer to the Question# 1(c) (ii):

Redemption of preference shares covered by accumulated profit:
The Company shall follow the process of redemption as per the articles of the company. In this regard the company needs to create a 'Capital Redemption Fund' in which the sum equal to sum equal to the amount applied in redeeming the shares shall be transferred from the retained earnings. The preference shareholders will be paid out the said fund.

Redemption of rest of the preference shares:
Since, the accumulated profit does not cover the rest BDT 50 crore preference shares, the company can accumulate such fund from sale of any asset f the company or can issue fresh equity shares for the purpose of redemption of such shares.

Answer to the Question# 1(d):

'Separate Legal Personality (SLP)' is the basic tenet on which company law is premised. Establishing the foundation of how a company exists and functions, it is perceived as, perhaps, the most profound and steady rule of corporate jurisprudence.

According to Mr. X, the principle of 'Veil of incorporation' has established, enunciates that a company has a legal personality separate and independent from the identity of its shareholders. Hence, any rights, obligations or liabilities of a company are discrete from those of its shareholders, where the latter are responsible only to the extent of their capital contributions, known as 'limited liability'. [Salomon v. Salomon and Co. Ltd. (1897) A.C 22].

On the contrary, unsecured creditors may argue that the human ingenuity however started using the veil of corporate personality deliberately as a wrap for fraud or improper conduct. Thus, it became necessary for the Courts to break through or 'lift the corporate veil' and look at the persons behind the company who are the real beneficiaries of the corporate fiction.

'Lifting of the corporate veil' means disregarding the corporate personality and looking behind the real person who are in the control of the company. In other words, where a fraudulent and dishonest use is made of the legal entity, the individuals concerned will not be allowed to take shelter behind the corporate personality. In this regards the court will break through the corporate shell and apply the principle of what is known as 'lifting or piercing through the corporate veil.' [United States V. Milwaukee Refrigerator Co.,]

Answer to the Question# 2(a):

XYZ Finance Limited has to follow the followings steps in order to launch its new 'Islamic Shahriah wing':

1. The management has to prepare a concept paper on proposed new wing following Bangladesh Bank guideline. The paper should include among others, the product to be launched, funding requirements and its sourcing. This may include the borrowing from lenders and depositors following shahriah guideline.
2. The Concept paper should be placed in the upcoming meeting of the board for its recommendation to the regulators, such as Bangladesh Bank and shareholders as well.
3. In the same meeting of the Board, proposal for amending the object clause of memorandum as well as the articles of the FI to incorporate the Islamic Shahriah operation shall be placed for recommendation to the Annual General Meeting for shareholders' approval;

4. As BSEC regulation, immediately after the approval by the Board, PSI should be published that the Board has recommended to Bangladesh Bank and shareholders for their approval to launch Islamic Shahriah wing for the FI;
5. Following the due process application to Department of Financial Institutions and Markets (DFIM) of Bangladesh Bank shall be submitted for its approval;
6. Having approval from Bangladesh Bank, the proposal shall be submitted to the upcoming Annual General Meeting as special resolution in addition to the regular agenda;
7. After approval by the shareholders in the AGM, permission of High Court division of Supreme Court Bangladesh shall be submitted for amending the memorandum and articles of the FI as approved by the shareholders;
8. Having permission from the High Court for amending the Memarts of FI, FI shall go for Islamic Shahriah operation of XYZ Finance Ltd. In compliance with Bangladesh Bank direction.

Answer to the Question# 2(b) (i):

Following listing regulations of both the exchanges, here goes the calendar for the financial authentication Board as well as the AGM:

ABC PLC

AGM calendar 2021

Sl.No.	Particulars	Event	Date
1	Holding of the shareholders' meeting (AGM shall be held within 45 working days from the Record Date)	AGM	Wednesday, March 31, 2021
2	Serving notice for the AGM at least 21 days before the meeting	AGM Notice	Wednesday, March 10, 2021
3	Declaration of Record Date for the AGM, within 14 to 30 market days from the authentication Board meeting	Record Date	Tuesday, March 9, 2021
4	Holding of the financials authentication Board meeting	Board meeting	Monday, February 15, 2021
5	Notification to the Exchanges & Commission before 7 days of holding of financial authentication Board meeting	Board meeting notice	Monday, February 8, 2021

Answer to the Question# 2(b) (ii):

Since there is no extra ordinary agenda for the AGM, the following agenda shall be incorporated in the notice of AGM. The notice shall be placed before the Board for authentication:

1. Adoption of Directors' Report, Auditors' Report and Audited Financial Statements for the year ended 31 December 2020;
2. Declaration of dividend for the year 2020 as recommended by the Board;
3. Election of Directors;
4. Appointment of Auditors of the Company until the conclusion of the next Annual General Meeting (AGM) and fixation of their remuneration; and
5. Appointment of auditors for certification on the compliance on conditions of Corporate Governance Code (CGC) for 2021 of the Company and fixation of their remuneration.

Answer to the Question# 2(b) (iii):

Based on the draft audit report, the board of Directors have approved the financial statements. The date of Board meeting in which the financials get approved is the date of authentication of financials. Its does not depend on the date of final signature of auditors.

Answer to the Question# 2(b) (iv):

Whatever the amount of dividend declared by the Board is not been approved. It is mare recommendation by the Board to the shareholders in the AGM. Shareholders in the AGM shall approve the dividend not exceeding the amount recommended by the Board.

The dividend recommendation by the Board shall be disclosed in the Notes to the Financial statements as 'Event After Balance Sheet date'.

Answer to the Question# 2(c):

As per the directive of BSEC, the following action will be taken immediately:

- The Board shall appoint two Independent Directors with prior approval from the commission;
- They will oversee the compliance with 30% requirement and shall remain in the Board for a year;
- A committee comprising of the Independent Directors shall be formed;
- Independent Directors will submit a progress report within 10 days of quarter end;
- Within 45 working days AGM or EGM shall be held using hybrid system;
- The Board of CDBL shall form an Election Commission;
- CDBL will forward a list of eligible shareholders (at least holding 2% shares) who can be the directors;
- The Board shall recommend a list of shareholders to be the directors of the company. Among them or in absence of such list among the shareholders provided by CDBL director will be elected; and
- Due process and detail voting system shall be authenticated by the CDBL;

Answer to the Question# 3(a) (i):

As per section 33(1)(d) of the Financial Reporting Act 2015, if any enlisted auditor is punished under section 48 of the law, the Council is fully empowered to cancel the enlistment by giving an order in writing after giving the enlisted auditor the reasonable opportunity of showing reasons. In this case, since the auditor didn't get any reasonable opportunity of showing the reasons as to why his license should not be cancelled, such cancellation would be faulty in the eye of law.

Answer to the Question# 3(a) (ii):

As per section 53(1) & (2) of the Financial Reporting Act 2015, the enlisted auditor can file appeal against the decision of the Council. In relation to this, the provisions of the law are mentioned below:

(1) Subject to the other provisions of this Act, any party, if aggrieved against any decision given by the Council, within 30 (thirty) days of the intimation about such decision, may make an appeal to the Appellate Authority and other matters in relation thereto may be submitted to the Appellate Authority.
(2) the decision of the Appellate Authority shall be final.

Answer to the Question# 3(b) (i):

The FRC Circular no. 179/FRC/FRM/Proggapon/2020/2 dated 07 July 2020 addresses the issues mentioned in the question. Since the above circular was issued on 07 July 2020, ABC Ltd. (being a public interest entity) should have complied with the same by now. It is better late than never. As such the same needs to be complied with now, and recognized in the audited financial statements for the year 2022, assuming that the financial statements of ABC Ltd. (being a listed company) for the year 2021 have already been audited, approved and adopted in the AGM for the year 2022. The FRC circular under reference is silent about the date from which its relevant provisions will be effective. However, since the Financial Reporting Act 2015 and the Bangladesh Labour Rules 2015 (as referred in the above circular) were enacted and become effective from 2015, the question of recovery of the forfeited provident fund amounts from the employees by the Trustee Board and refunding to ABC Ltd. (as referred in the above circular) should be effective from the year ended on 31 December 2015. The total forfeited amounts of Tk.16,70,000/- for the years 2015 through 2021 (i.e. excluding for the year 2014) will need to be recovered from the beneficiary members (all of whom are still employees of ABC Ltd. and members of the CPF) by the Trustee Board and refunded to ABC Ltd. in the current year 2022. According to clause no. 3 of the FRC Circular, these forfeited amounts receivable/received by ABC Ltd. will need to be recognized as "Other Income" in their financial statements for the year 2022 and accordingly the other income is to be considered while computing the corporate tax of ABC Ltd.

According to clause no. 1 of the FRC Circular, since the accounting year of ABC Ltd. and its CPF are the same, the forfeiture fund amount (if any) for the current year is to be adjusted by ABC Ltd. in the year 2022.

Answer to the Question# 3(b) (ii):

According to clause no.1 of the FRC Circular, if the accounting year of the CPF and ABC Ltd. are not the same, the forfeited amount (if any) for the year 2022 is to be transferred to ABC Ltd. within 7 days after completion of the statutory audit (audit is to be completed within 120 days from the end of the accounting year i.e. by 30 April 2022). Again, according to clause 3 of the same circular, the forfeited amount transferred from the fund is to be shown as "Other Income" in the financial statements of ABC Ltd. and accordingly the other income is to be considered while computing the corporate tax of ABC Ltd.

Answer to the Question# 4 (i):

As per Bank Companies Act, 2013, bank shall every year shall transfer at least 20% of distributable profit before distribution of dividend to statutory reserve account if the sum of statutory reserve and share premium, if any is less than the paid-up capital of the bank.

Since, the sum of statutory reserve and share premium amount is more than the paid-up capital of the bank as on 31 December 2021, the bank needs not to transfer any amount to statutory reserve account from 2021 distributable profit.

Calculation is as follows:

Particulars	31.12.2021
Paid-up capital	**3,959,033,190**
Sum of Share premium and Statutory reserves	**4,526,695,437**
Share premium	1,260,585,930
Statutory reserves	3,266,109,507

There is no statutory obligation to transfer any amount to general reserve unless the Board of Directors decide.

Answer to the Question# 4 (ii):

As per Bangladesh Bank dividend policy applicable for bank, since the bank has been able to maintain capital reserve @14% along with 2.5% capital conservation buffer against its risk-based assets as on 31 December 2021, the bank allowed maximum dividend @ 25%, out of which 12.5% will be cash and 12.5% will be stock. Such payout is also covered by the profit available for dividend:

Particulars	No. of shares	Amount in BDT
Net profit after tax		1,576,197,208
Less: Transferred to statutory reserves		0
Net profit available		1,576,197,208
Less: Dividend-		**989,758,289**
Cash @ 12.5%		494,879,149
Stock @12.5%	49,487,914.88	
Round down the fraction shares	49,487,914.00	494,879,140
Net profit to be transferred to retained earnings		**586,438,919**

Answer to the Question# 4 (iii):

From the above calculation, it is evident that total stock dividend has come as fractional figure. Since, practically fractional share is not possible to allot, the bank should take a note in dividend declaration agenda for both board and AGM that-

"The portion of fractional share (0.88) which is not possible to transfer through the Central Depository System (CDS) will be kept in record separately to accumulate with paid-up capital in future when it would become a whole share".

Answer to the Question# 5:

As per the Corporate Governance Code of Bangladesh Securities and Exchange Commission (BSEC) [clause 5(2)(b)] the Audit Committee shall be consisting of at least one Independent Director. Further, the chairman of Audit Committee shall be an Independent Director[clause5(3)(a)].

Moreover, as per the governance code [2(b)]at least 1 (one) independent director on the Board of the holding company shall be a director on the Board of the subsidiary company;

However, such newly imposed regulation of Bangladesh Bank has imposed some challenges for the FI to comply with the both Bangladesh Bank and BSEC regulations.

Since, Chairmans of the Audit Committee is also the Chairman one subsidiary, ABC Finance Ltd being a listed NBFI, in the current formation compliance with the newly imposed regulation of primary regulator, Bangladesh Bank will lead to non-compliance with governance code of BSEC.

Way forward:

ABC should remove the chairman of Audit Committee from the Board of its subsidiary.

In addition to the existing two Independent Directors, FI should appoint one more Independent Director who will neither be the Chairman of Audit Committee nor the Executive Committee. And he should be nominated in the Board of its subsidiaries who may be or may not be the chairman of subsidiaries.

Since as per existing regulation of Bangladesh Bank, total member of the board of FI shall not be more than 11 and ABC has already the same, to appoint one more Independent Director (in total 3) the Board should replace one nominated director by the Independent Director.

Answer to the Question# 6:

Section 58(1) of the Insurance Act 2010 has put a clear restriction on accepting any payment by way of commission or otherwise for procuring business. As per this section, restriction has been imposed on the Insurance Company and as such no person shall pay or contract to pay any remuneration or reward whether by way of commission or in any other name for soliciting or procuring insurance business in Bangladesh to any person except an insurance agent or an employer of agents or broker. **Being Stone is very compliant, it cannot accept the offer.**

Answer to the Question# 7 (a) (i):

Form the question, it's appeared that Adore is a PLC, has been operating an industrial undertaking, its paid-up capital is Tk. 10 crores, and it has currently 250 numbers of employees.

Section 232 of the Labor Law specifies that any undertaking satisfy any one of the following conditions, will require to comply with the provisions of Participation of Workers in the profit of the companies:

a) the number of workers employed by the company in any shift at any time during a year is one hundred or more
b) the paid-up capital of the company as on the last day of its accounting year is one crore taka or more
c) the value of the fixed assets of the company at cost as on the last day of the accounting year is not less than two crore taka or more.

From the above, it's clear that out of the three conditions mentioned above, Adore fulfills first two conditions and for the third one we don't have any information. Since the law suggest, fulfilling any one of the three conditions mentioned above, will render it mandatory, hence, it is clear that Adore has to participate in Workers Profit Participation Fund, Welfare Fund, and Bangladesh Worker's Welfare Foundation Fund following the other provisions of law.

Answer to the Question# 7 (a) (ii):

Section 234(1)(b) of the labour law requires a company to pay five percent (5%) of its Net Profit to the Workers Profit Participation Fund, Welfare Fund, and Bangladesh Worker's Welfare Foundation Fund.

Net profit has been defined under 233(f) of the labour law as follows: 'Profits' in relation to a company, means such of the net profits as defined in section 119 of the Companies Act, 1994 as are attributable to its business, trade, undertakings or any other work in Bangladesh'.

Section 119(3) of the Companies Act 1994, defines, net profit as pre-tax profit. Hence, we can work out the amount of profit should be considered as the pre-tax profit for participation in Workers Profit Participation Fund, Welfare Fund, and Bangladesh Worker's Welfare Foundation Fund, which is Tk. 20 crores.

Answer to the Question# 7 (a) (iii):

As per section 244 of the Labour Law, there is a fiscal concession allowed to the companies, which suggests all companies to whom this chapter of Workers' Profit Participation Fund (WPPF) applies, those companies shall be allowed the contribution made to the fund (WPPF) as a deduction to arrive at the taxable income.

Answer to the Question# 7 (a) (iv):

From the question, it is appeared that Adore has total 250 employees, out of which, there are, a four members Board of Directors including the Managing Director Mr. Z, 46 managerial staff and 200 factory workers.

The law suggests the benefit should be given to the beneficiaries as defined under the law. Section 233(1)(i) of the labour defines, "beneficiary of a company means any person including probationer who has been employed in the company for not less than 9 (nine) months irrespective of any rank and status, excepting the owner, a partner or a member of the management board.

Considering the above, we can see there are 4 members including the Managing Director are acting as the management board of Adore. Hence, excepting these 4 members all other employees

i.e., 250 - 4 = 246 should be treated as beneficiaries under the Labour Law.

Answer to the Question# 7 (b):

To

Head of Human Resources

MNC PLC

Dear Sir

Office memo- compensation entitled to the employees in certain cases

We have received some claims from various departments of our company. In line with the prevailing regulations of Labor Act, 2006 as amended subsequently, we have analysis the individual cases. The details are as follows:

a. Death case- Mr. Sanaullah Khan

As per section 19 of the Labor Act, 2006 If a worker dies while in service for at least more than 02 (two) years continuously under an employer, such employer shall pay as compensation 30 (thirty) days wages or, in the case of his death while working in the establishment or in the case of his death following an accident while working in the establishment 45 (forty-five) days wages for every competed year of his service or any part thereof exceeding 6 (six) months or gratuity, whichever is higher, to the nominee of the deceased worker or, in the absence of the nominee, to his dependent and this money shall be in addition to the retirement benefit to which the deceased worker would have been entitled had he retired from service.

Entitlement: His nominee will not be entitled to any compensation from the company as he was in continued service of less than 1 year.

b. Retrenchment case- 10 employees **(s.20)**

As per section 20 of the Labor Act, 2006 If any worker has been in continuous service under an employer for not less than 1 (one) year, the employer, in the case of retrenchment of such worker, shall pay him as compensation 30 (thirty) days' wages for his every year of service or gratuity, if payable, whichever is higher.

Entitlement: Since they meet the above criteria, they will be entitled to the compensation as stated above.

c. Discharge case- Mr. Rahmatullah

As per the section 22 of the Labor Act, 2006 If a discharged worker completes not less than (1) one year of continuous service he shall be paid by the employer, as compensation, 30 (thirty) days' wages for his every year of service, or gratuity, if payable, whichever is higher.

Entitlement: Since he meets the above criteria, he will be entitled to the compensation as stated above.

d. Dismissal case- Mr. Rakibul Huq

As per the sction 23 of the Labor Act, 2006 A worker who is dismissed under sub-section (2)(a) shall, if the period of his continuous service is not less than 1 (one) year, be paid by the employer as compensation 15 (fifteen) days wages for every completed year of his service.

Provided that no worker shall be entitled to any compensation if he is dismissed for misconduct under sub-section (4)(b) and (g); but in such case, the worker concerned shall get other lawful dues as usual (s. 23(3), underlines added).

Entitlement: Since he has been dismissed on the ground of misconduct, he will not be entitled to the compensation as stated above.

e. Resignation by a permanent worker- Mr. Ariful

As per the section 27 of the Labor Act, 2006 Where a permanent worker resigns his service under this section, he shall be paid by the employer compensation,

(a) at the rate of 14 (fourteen) days' wages for his every completed year of service, if he completes 5 (five) years of continuous service or more but less than 10 (ten) years under the employer;

(b) at the rate of 30 (thirty) days' wages for every completed year of service if he completes 10 (ten) years of continuous service or more under the employer;

or gratuity, if payable, whichever is higher, and this compensation shall be in addition to any other benefit payable to such worker under this Act (s. 27 (4), underlines added).

Entitlement: Since he has completed 3 years, he will not be entitled to the compensation as stated above.

Having the approval of the memo, we will proceed for the compensation to the entitled employee accordingly.

Regards,

Head of Rewards

---The End---